

Krishna Defence & Allied Industries Ltd

Concall Tracker — is there a real earnings driver, and has management stuck to its word?

Reading of all 9 earnings calls (H2 FY22 → Q4 FY26; company holds ~2 calls a year) · 04 Jul 2026 · source: company concall transcripts via Screener.in

Plain-word key: **Indigenisation** = making in India things the Navy used to import. **Bulb bars** = a special ship-building steel section (Krishna's main product). **Weld consumables / ballast bricks / armoured profiles** = other navy/defence steel products it makes. **Order book / backlog** = orders won but not yet delivered — i.e. future revenue you can already see. **ToT** = transfer of technology (getting the design/know-how from a lab like DRDO). **AUV** = autonomous underwater vehicle (an unmanned mini-submarine). **EBITDA / operating margin (OPM)** = operating profit as a % of sales.

1 Snapshot — what this business is

Krishna Defence is a **small Ahmedabad-based engineering company** that makes specialised steel products for the Indian Navy and defence — most importantly "bulb bars" (a ship-building steel that used to be imported), plus welding materials, magnetic-shielding bricks and armoured-steel profiles for tanks. It has grown fast, shifted almost entirely from dairy equipment into defence, and moved up from the small-company (SME) exchange to the main board in Dec 2025.

Number (year to March)	Value	What it means in plain words
Revenue FY26	₹245 cr	Total sales, up 29% from ₹190 cr — and sales have roughly 5x'd in four years (from ₹50 cr in FY22).
Net profit FY26	₹41 cr	Bottom-line profit, up a big 86% from ₹22 cr in FY25 — profit growing far faster than sales.
Operating margin FY26	~21%	For every ₹100 of sales, ~₹21 is operating profit — up from 14% as it moved into higher-value defence work.
Order book (May 2026)	₹103 cr	Orders in hand — but this has shrunk sharply from a ₹282 cr peak in late 2024 (see the warning below).
Defence share of sales	~92%	Almost the whole business is now defence, up from ~40% a few years ago — a deliberate, delivered shift.
Earnings per share FY26	₹27.67	Profit per share, up from ₹15.83 in FY25.

2 Which calls were read — and one warning

All **9 earnings calls** from H2 FY22 (Jun 2022) to Q4 FY26 (May 2026) were read. The company holds only **about two calls a year** (a year-end call and a half-year call), so this covers roughly four years.

WATCH THIS

The order book has been falling for 18 months — from a ₹282 cr peak (Sept 2024) to ₹270 cr → ₹196 cr → **₹103 cr (May 2026)**. That is less than half of one year's sales, unusually thin for a company guiding 30%+ growth. Management blames a temporary pause in defence tenders around "Operation Sindoor" (Apr–Sept 2026) and points to a ₹221 cr pipeline it expects to convert in FY27. Real explanation or not, **forward visibility has genuinely weakened** even as reported profits hit records — the single most important thing to watch.

3 The earnings trigger — what management says will grow profit

HEADLINE

Yes — a real, proven core driver. Krishna makes steel products the Navy used to import (led by "bulb bars"), in a near-**two-player market** with a 2-3 year approval barrier that keeps rivals out. That franchise took sales from ₹50 cr to ₹245 cr and margins from 14% to 21% in four years — clearly working. **The catch:** the order book has shrunk hard (see above), and the exciting *future* products management keeps announcing (underwater drones, smart ammunition, composite doors) are years away and deliberately left out of its own forecasts.

Driver	What management said	Evidence so far	Horizon	Strength
Naval steel indigenisation (bulb bars etc.)	Replace imported navy steel; ride the multi-decade fleet build-out	The real engine — drove sales ₹50 cr → ₹245 cr; ~two-player market, sticky repeat orders	Multi-year	Strong
Higher-margin product mix	Shift from low-margin dairy to defence; lift margin toward 20%	Delivered & exceeded — defence now ~92% of sales; margin 14% → 21%	Done	Strong
Capacity doubling (new plant)	₹14-15 cr to double capacity; then support ₹350-500 cr sales	Delivered (slightly late) — live from Apr 2025	Now	Delivered
New products (drones/AUV, smart ammo, composite doors, aerospace)	"7-8 products of ₹50-100 cr each → ₹500 cr sales by FY28"	Many announced, little converted; management excludes them from its own numbers	2-3 yrs out	Unproven
Naval-gun ammunition (SRGM)	Pitched hard in 2022-23 as a big opportunity	Repeatedly slipped, then effectively dropped	—	Dropped

4 Has management been consistent? — promised vs delivered

What was promised	When	What actually happened	Verdict
Lift operating margin toward 18-20%	FY24 → FY26	Exceeded — reached ~21% in FY26. The best-kept promise	Beat
Shift to 90%+ defence	FY23 → FY25	Delivered — ~92% of sales are now defence	Delivered
Double capacity (₹14-15 cr, ~6-7 months)	Nov 2023	Delivered, but ~6 months late (live Apr 2025 vs Oct 2024)	Delivered (late)
Revenue growth guidance	every call	Ping-ponged: 40-50% → 30-35% → 40% → 30-40% → "30%+". FY24/FY25 beat it; FY23 (+27%) and FY26 (+29%) came in at the low end	Mixed
Naval-gun ammunition (SRGM) as a driver	2022-23	Never delivered — quietly dropped	Dropped
	Nov 2023	"Very excited" for 2+ years; revenue now pushed to FY27	Slipped

Has the story drifted? Yes — meaningfully. Krishna has broadened from a focused two-product naval-steel maker (2022) into a **sprawling "platform"** with ~8 product lines and 4-5 small associate companies (drones, defence electronics, ship design, smart ammunition, aerospace). The proven core delivered impressively, and the margin and defence-mix promises were kept or beaten. **But** the growth guidance kept changing, two headline products (naval-gun ammunition, composite doors) were dropped or repeatedly deferred, and new unproven bets are announced faster than they convert — while the order book shrinks. The tone tracked this arc: ambitious (2022) → euphoric at the peak (late 2024, "confident of surpassing 40%") → increasingly defensive about the falling order book (2025-26) even while celebrating record margins.

5 Bottom line

Durable earning trigger? → **YES** (with a real caveat)

The core is genuine and durable: an import-substitute naval-steel franchise in a near-two-player market with a real approval barrier, which took sales up 5× and margins from 14% to 21%. That is a proven trigger with a structural, multi-decade tailwind. **The caveat is timing:** the order book has fallen to under half a year's sales, so near-term growth visibility has clearly weakened — the driver is real, but the next 12 months hinge on the promised tender pipeline actually landing.

Management consistent? → **MAYBE**

On the things that matter most for profits — margins and the defence shift — management over-delivered, and the capacity plan (though late) was built. **But** their growth guidance kept ping-ponging, two flagship product promises (naval-gun ammunition, composite doors) were dropped or repeatedly pushed back, and they keep announcing exciting new ventures faster than any convert to revenue while the order book shrinks. Strong on execution of the core; less reliable on the promises and targets they set around it.

This report reads what management said on earnings calls versus what the numbers later showed. It is not investment advice. Do your own due diligence.